Inflation and the velocity of money circulation

It is not just the supply of money that affects growth in an economy, but also the rate at which money changes hands. This is called the "velocity" of money. It is a measure of how many times a unit of money has been used in transactions for goods and services over a period of time. For instance, if the same unit of money, such as $1, is spent three times in one year in three separate transactions, the velocity of money would be three. If the money supply increases rapidly, as well as the velocity of money, the supply of goods and services may not be able to keep pace with demand – there will be more money chasing fewer goods. This can happen if the economy expands too rapidly, perhaps due to a sudden increase in money supply as a result of monetary policy. Companies respond by raising their prices, kickstarting demand-pull inflation.

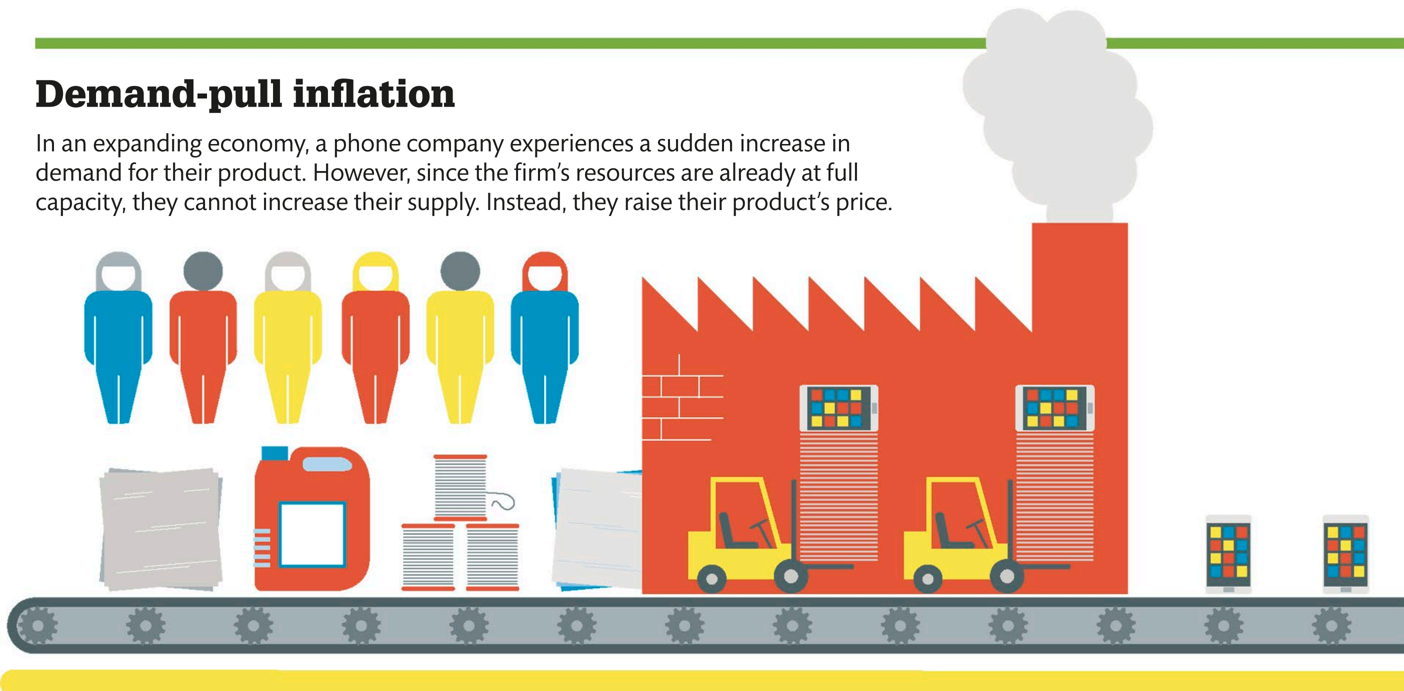
However, a higher money supply may not necessarily result in an increase in velocity. If confidence in the economy is low, banks may limit loans, while individuals and businesses may hoard rather than spend their money. If less money is pumping around an economy, then inflation reduces.

NEED TO KNOW

- **Market power** A company's capacity to raise a product's price by manipulating levels of supply, demand, or both. Increased market power due to a strong brand may result in lower output.
- **Effective demand** This is an indication of what consumers are actually buying, dictated by their willingness to spend, available income, and need.
- **Latent demand** This represents customers who have a desire to buy a product, rather than those making actual purchases.

Demand-pull inflation

In an expanding economy, a phone company experiences a sudden increase in demand for their product. However, since the firm's resources are already at full capacity, they cannot increase their supply. Instead, they raise their product's price.



Demand rises
With more money available in the economy, there is a willingness to spend more money on products in general. This brand of mobile phone, a market leader, is particularly in demand.

Manufacture at maximum capacity
The factory is already producing at full capacity, with full employment. Without investment to increase production, which takes time, the supplier is unable to produce more.

Demand outstrips supply
Suppliers cannot increase output in the short term so consumer demand exceeds the number of products that can be supplied.